Crypto Assets Monitor

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CRYPTO ASSETS MONITOR HIGHLIGHTS: Q3 2025

Crypto assets' market capitalization rose to USD 4.2 trillion over the third quarter of 2025. While Bitcoin remains the largest coin by market capitalization, its share declined to 56 percent as Ether continued to gain ground. Other crypto assets together account for around 30 percent of the crypto market size. The market capitalization of crypto assets currently represents approximately 7 percent and 13 percent of the U.S. equity and debt markets, respectively.

Global adoption is accelerating across regions, led by Asia Pacific and North America. According to the 2025 Chainalysis Crypto Adoption Index (an index based on transaction volumes adjusted for population and purchasing power), India, the U.S., and Pakistan top global crypto adoption, with Asia Pacific, Latin America, and sub-Saharan Africa showing the fastest growth. Public companies globally hold a total of USD 120 billion in Bitcoin. Exposures are highest in the U.S., Japan, and Canada, with holdings highly concentrated among a few firms. These strategies provide investors with indirect access to crypto assets through these companies, much like trusts and funds that hold Bitcoins on behalf of investors.

Crypto funds continue to grow. Bitcoin funds resumed growth in April, following outflows in February and March 2025, with investment advisors increasing their share compared to other types of investors. The U.S. remains the largest market for crypto exchange-traded products.

Traditional assets outperformed crypto assets in terms of risk-adjusted returns. Traditional assets, including gold and emerging market equities, have delivered stronger risk-adjusted returns than crypto assets. Systemic risks from crypto spillovers into broader financial markets remain limited but have increased recently.

Stablecoins have attracted the attention of mainstream financial institutions and global regulators. The market capitalization of stablecoins has grown by 14 percent since the end of Q2, surpassing USD 300 billion. The market cap and trading volumes appear influenced by recent regulatory developments (e.g., the Genius Act in the U.S., MiCA regulation in Europe) and new product launches by major fintech and financial institutions. Tether announced a new stablecoin that aims to align with U.S. regulatory standards, while existing U.S. stablecoins are at different stages of alignment. Stablecoins' holdings of U.S. treasuries increased significantly in past years, although they remain relatively low compared to other institutions.

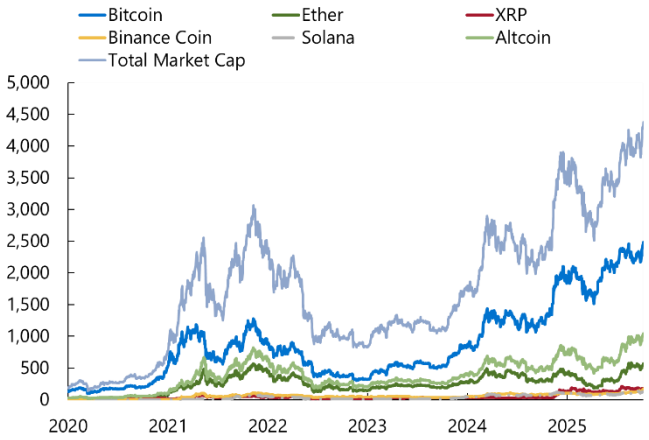
Stablecoin adoption is evolving, with cross-border flows increasing and markets debating broader use cases. While USD-denominated stablecoins still dominate, euro-denominated and commodity-backed variants are growing. The use of stablecoins in cross-border transactions has been growing compared to other crypto assets. Further expansion rests upon take-up for payments, also outside their crypto-native space, remittances, and cross-border flows. Markets broadly expect stablecoin adoption to rise rapidly in the near future, though within wide uncertainty bands.

Decentralized finance (DeFi) activity has increased, with total value locked (TVL) in decentralized protocols as well as trading volumes of decentralized exchanges are both rising. Ether remains the leading blockchain for DeFi activities, while centralized exchanges (CEXs) continue to account for the majority of trading activity.

Market Update

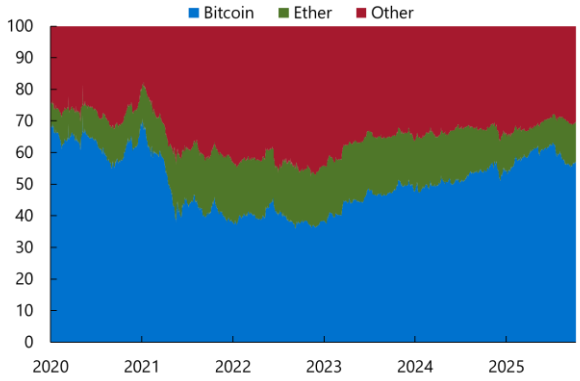
Total crypto assets market cap surpassed USD 4.2 trillion.

1. Selected Crypto Assets Market Cap (in USD billions)



Bitcoin lost 4 percent market share of total crypto assets to Ether.

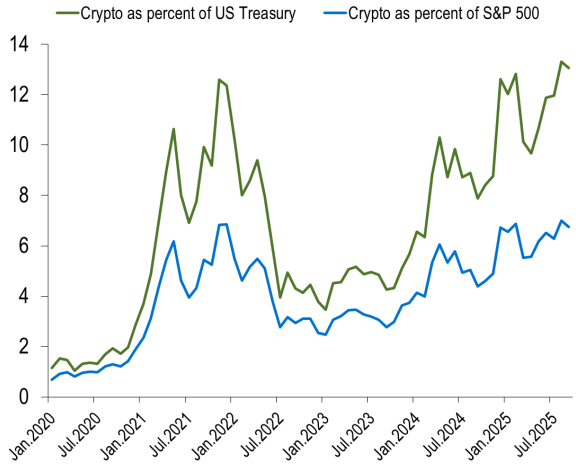
2. Selected Crypto Assets Market Share (in percent)



- The total crypto assets market cap surpassed USD 4.2 trillion, setting a new historical high. This represents a 13 percent increase from the previous high of USD 3.9 trillion in December 2024.
- Similarly, the Bitcoin market cap increased by 9 percent in Q3 2025, hitting USD2.5 trillion for the first time. Bitcoin price reached USD 126,000 on October 6th.
- While Bitcoin's share in crypto assets was close to its peak at the beginning of Q3 2025, it dropped by 4 percent to 56 percent of the total market share by the end of the quarter.
- Instead, Ether's share in crypto assets rose by 4 percent during Q3 2025 to 13 percent.
- Other crypto assets represent 30 percent of the crypto market share and have generally been decreasing since 2023 (by 15 percentage points from their historical highs).

The market cap of crypto assets amounts to 7 and 13 percent of that of U.S. equity and debt markets.

3. Market Cap of Crypto Assets Relative to the S&P 500 and U.S. Treasury Debt Markets (in percent)



- With the rapid growth in market cap, crypto assets are now equivalent to around 7 percent of the market cap of the S&P 500.
- The crypto assets market cap reached 13 percent of the U.S. Treasury debt market in September 2025, up from 10 percent in Q2.

Crypto Adoption

India, the U.S., and Pakistan led global crypto assets adoption in 2025.

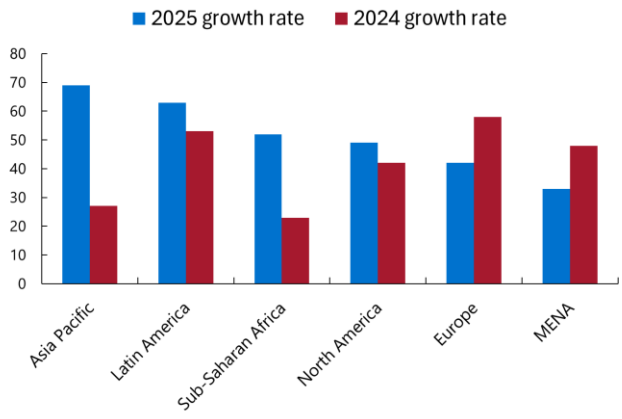
4. Chainalysis 2025 Global Crypto Adoption Index
(Top 10 countries) overall ranking

Country	2025 Ranking	2024 Ranking
India	1	1
United States	2	4
Pakistan	3	9
Vietnam	4	5
Brazil	5	10
Nigeria	6	2
Indonesia	7	3
Ukraine	8	6
Philippines	9	8
Russia	10	7

- Chainalysis constructs its crypto adoption index by estimating transaction volumes across centralized and decentralized services, then weighing them by each country's GDP per capita to reflect grassroots usage and economic context.
- The Asia-Pacific region strengthened its apparent lead in the adoption of crypto assets.
- North America became the region of second-highest adoption driven by accelerated participation of traditional financial firms, according to Chainalysis research.
- Results from Chainalysis should be interpreted with caution, as they rely on web traffic estimates and frequently updated methodologies. Further analysis may be necessary to validate findings and account for these limitations.

Crypto markets continued to grow, led by Asia Pacific and Latin America.

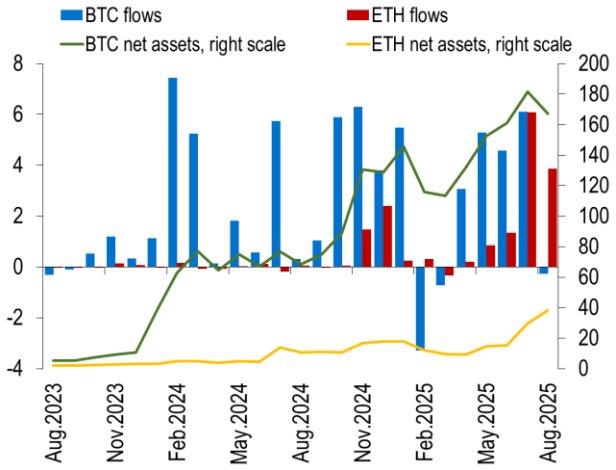
5. Growth in Crypto Markets by Region
Percent change in total value received by centralized and decentralized services, year ended June 2025 vs. year ended June 2024



- Nearly every region saw higher growth in 2025 relative to 2024. Asia Pacific is the fastest growing region for on-chain crypto activity, with around 70 percent Y-o-Y growth in value received by centralized and decentralized services.
- Crypto activity rose 63 percent in Latin America and 52 percent in sub-Saharan Africa, likely driven by growing retail and institutional use, and continued reliance on crypto for remittances, according to 2025 Chainalysis Adoption Index.

Crypto funds continued to experience inflows since April, more than offsetting outflows in February and March 2025.

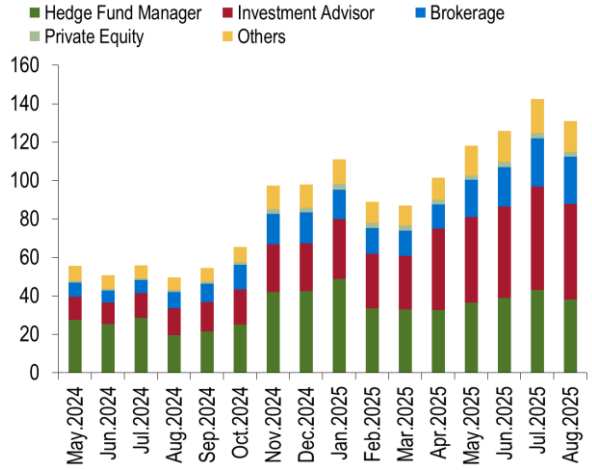
6. Monthly Bitcoin and Ether Fund Flows (in USD billions)



- Inflows to crypto-asset-focused funds continued for four consecutive months since April, more than offsetting outflows seen in February and March 2025.
- Inflows to funds investing directly in Ether were largest in July, possibly reflecting the spread of DeFi (see Chart 26) and consistent with the increase in Ether's market share relative to Bitcoin.
- The crypto-asset-focused funds reflected above directly invest in Bitcoin or Ether, and/or in futures contracts.

Ownership distribution showed relative growth of investment advisors.

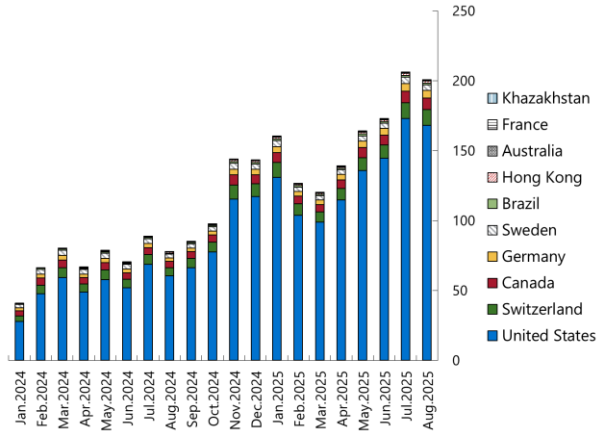
7. Total Assets of Major Bitcoin Exchange-Traded Products (ETP) by Investor Type (in USD billions)



- Data on holdings of the five main Bitcoin ETPs highlights that investment advisors and brokers have increased their positioning compared with other investors since last year.
- Broader-based ownership may reflect improved risk-adjusted returns of Bitcoin since the start of 2025 amid optimism regarding regulatory developments in the U.S. (see Chart 11).

The U.S. dominates the crypto ETP markets, followed by Switzerland and Canada.

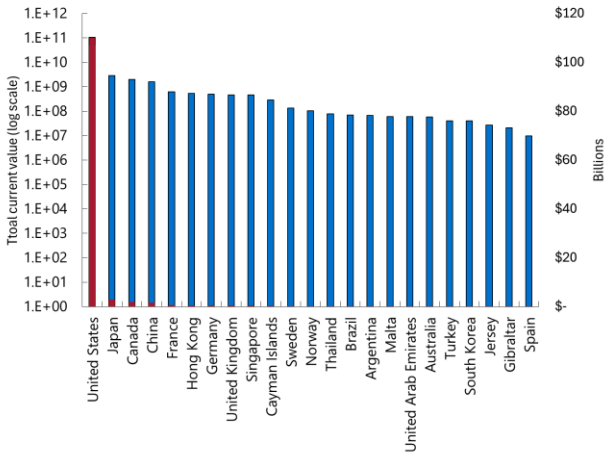
8. Assets of Crypto Exchange-Traded Products by Country (**in** USD billions)



- Total assets of crypto ETPs reached USD 200 billion in August 2025, increasing by 25 percent since the beginning of the year.
- With USD 168 billion in assets under management (AUM), the U.S. is the largest market for crypto ETPs, followed distantly by Switzerland (USD 11 billion) and Canada (USD 8 billion).
- Australia is one of the fastest-growing markets, with its ETPs increasing by 60 percent since January 2025.

Corporate Bitcoin holdings have grown substantially since their inception in 2019, with the U.S. being by far the largest host country.

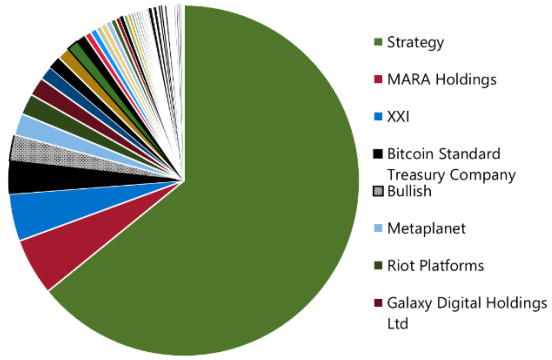
9. Corporate Bitcoin Holdings by Country
Left axis: blue bars (log scale); right axis: red bars (USD billions)



- Corporate Bitcoin holdings—Bitcoin reserves that companies hold on their balance sheets as part of their treasury or business strategy—provide investors with indirect exposure to Bitcoin and are, in this respect, similar to Bicoin ETFs. However, holding equity in a Bitcoin-holding company can, in some cases, offer leveraged exposure to Bitcoin, while a Bitcoin ETF gives direct, one-to-one exposure with less company-specific risk.
- The approach was pioneered by Strategy (formerly MicroStrategy) in 2019, and since then a number of other companies, mostly in the U.S., have increased their corporate holdings.
- Globally, public companies together hold around USD 120 billion in Bitcoin as of September 2025.
- Ninety-one percent of corporate Bitcoin holdings originate from the U.S.
- Japan, Canada, China, and France are among the top five countries with the highest levels of corporate Bitcoin ownership, albeit at levels much smaller than the U.S. (note that the scale in the chart is logarithmic).

Strategy (U.S.) holds by far the most Bitcoin of all firms with equivalent investment strategies.

10. Bitcoin Holdings by Company (in percent)

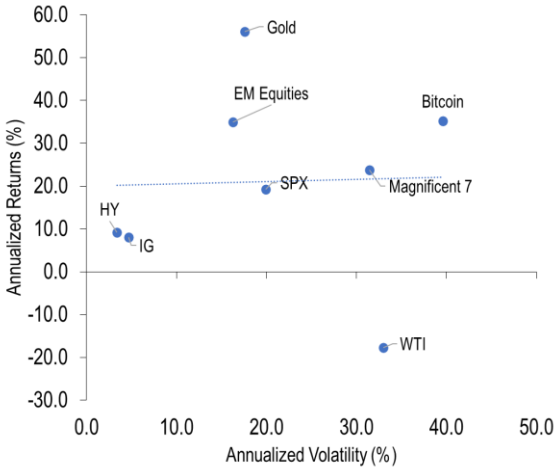


- The market is highly concentrated, with U.S.-based Strategy holding more than 60 percent of total Bitcoin held by firms. Other top holders include the crypto mining firm Mara Holdings (5 percent) and the Japanese investment firm Metaplanet (2 percent).

Crypto Interconnectedness

Gold and EM Equities have outperformed Bitcoin from a risk-return perspective since the start of 2025.

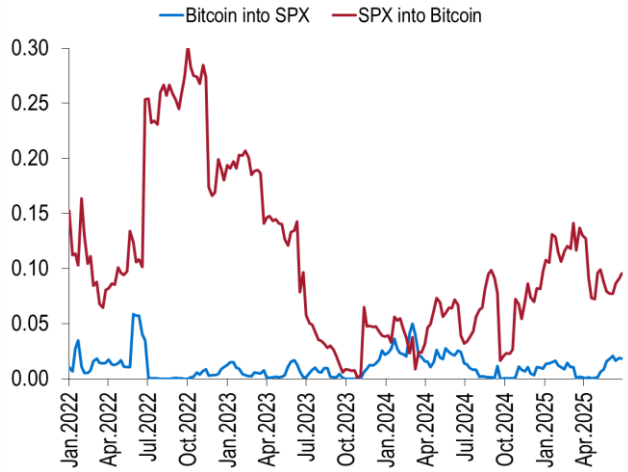
11. Returns vs. Risk Since January 1, 2025 (in percent)



- Since January 2025, gold outperformed Bitcoin, while Emerging Market equities held up well, delivering competitive risk-adjusted returns.
- WTI oil lagged behind under the same metric.

Bitcoin spillovers into S&P 500 remain muted.

12. Spillover Analysis: Decomposition of Forecast Error Variance (in percent)

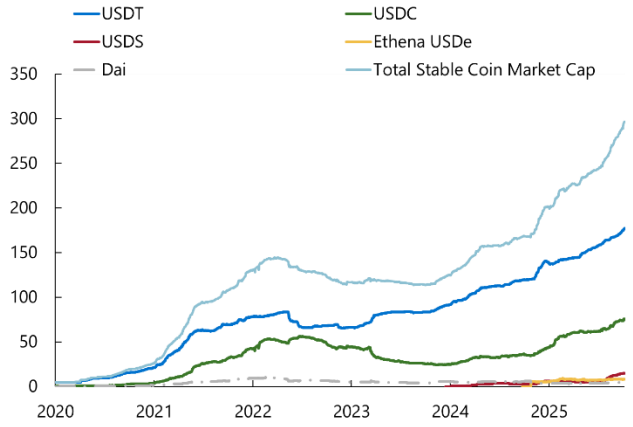


- Shocks originating in the S&P 500 appear to spill over to Bitcoin to a higher degree than the other way around.
- Spillovers from the S&P 500 into Bitcoin have fallen from the March 2025 peak.
- This analysis follows the methodology in April 2025 Global Financial Stability Report.

Stablecoins

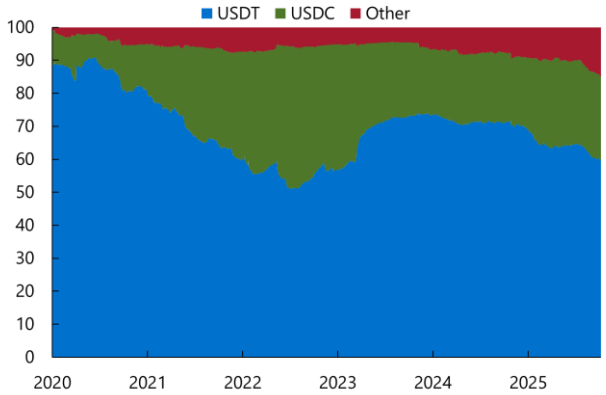
Total stablecoin market cap topped USD 290 billion.

13. Selected Stablecoin Market Cap (in USD billions)



USDT and USDC remained the dominant stablecoins.

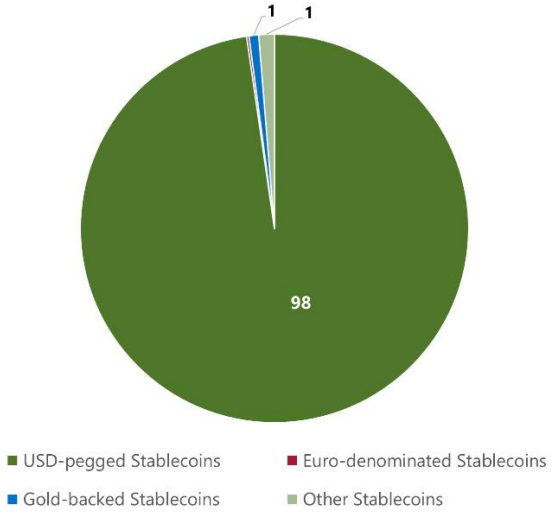
14. Selected Stablecoin Market Share (in percent)



- The total stablecoin market cap continued to grow, topping USD 300 billion.
- The current market cap is 14 percent higher than at the end of Q2 2025, with USDT and USDC recording a 9 percent and 20 percent increase, respectively, in the same period.
- Additional regulatory clarity with the adoption of the U.S. Genius Act and the application of MiCA regulation in Europe created a pathway for more institutional adoption of stablecoins. Strategic deals—including Ripple's acquisition of Rail and Mastercard's launch of FIUSD with Fiserv—highlight how established financial players are accelerating stablecoin adoption.
- At the same time, several fintech companies are preparing new stablecoin launches. Tether announced a rollout of a new U.S.-compliant stablecoin, USAT, Hyperliquid is also preparing to launch its new native stablecoin, while DeFi protocols and fintech companies such as Robinhood and Revolut are planning their own stablecoins.
- USDT remained the dominant stablecoin globally, with 58.9 percent market share. It lost over 3 percent of its market share in Q3 2025 but its new USAT stablecoin may help recover market share in the US market.
- Instead, other stablecoins gained traction: USDe gained 2.7 percent market share over Q3 2025, largely through its integration into Binance, the world's largest crypto exchange, and the adoption of a yield-earning strategy.
- USDC, the dominant stablecoin in the U.S., held onto its share and now accounts for a 25 percent market share. Circle Internet Financial, the issuer of USDC, announced its own blockchain using USDC as a native token, intended to tightly integrate payment rails, foreign exchange operations, on-chain contracts, and the tokenization of securities.

USD-denominated stablecoins dominate the stablecoin market. Non-USD stablecoins represent a small but rapidly growing segment.

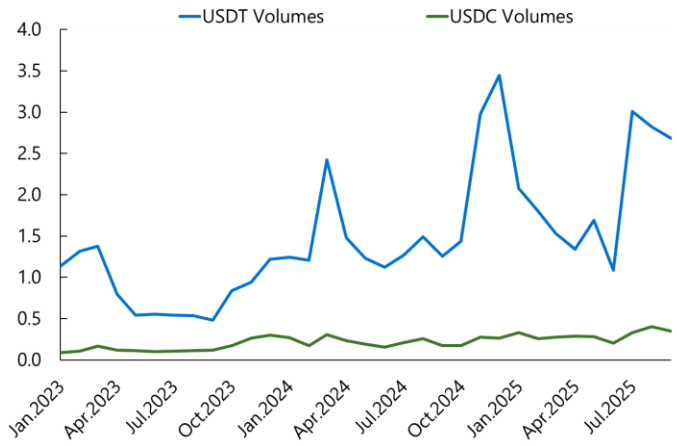
15. Breakdown of stablecoin market (in percent)



- The stablecoin market is dominated by USD-denominated stablecoins, with a 98 percent market share.
- Despite its small market size of USD 550 million, the market cap of EUR-denominated stablecoins grew by 240 percent since last year, as licensing for stablecoin issuers under the MiCA regulation gained ground.
- Commodities-backed stablecoins, particularly those backed by gold, represent a steadily growing segment.

Total USDT and USDC trading volume reached USD 18.7 trillion in 2025.

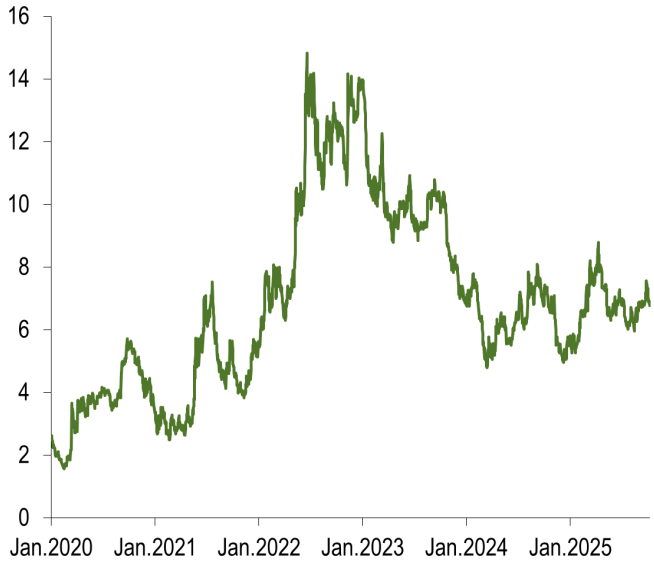
16. Stablecoin Monthly Trading Volume (in USD trillions)



- The total trading volume of USDT and USDC reached USD 18.7 trillion in 2025.
- The trading volume, albeit volatile, has trended up in recent years. The total volume in Q3 2025 reached USD 9.6 trillion, increasing by 40 percent since Q2 2025.
- Note: “trading volume” measures the total volume of stablecoins traded across all the exchanges tracked.

A substantial stablecoin expansion would likely necessitate use-cases beyond the crypto space.

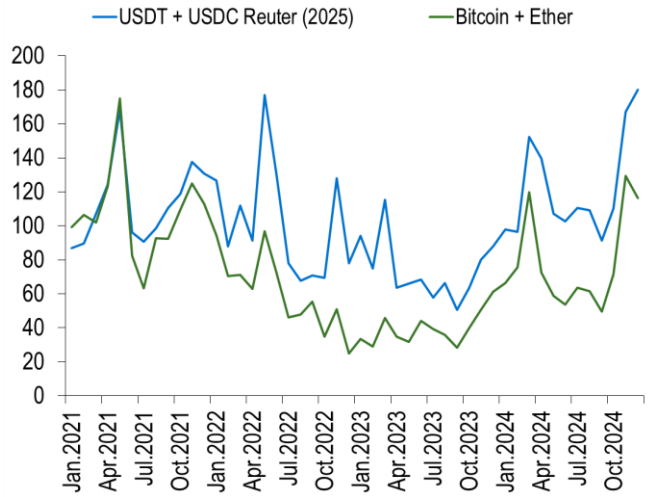
17. Stablecoin Share in Total Crypto Market Cap (in percent)



- For the time being, the key role of stablecoins remains to purchase crypto assets or hold liquidity on-chain.
- Stablecoins have fluctuated around a relatively steady share of the total crypto market since 2024.
- A substantial increase in the adoption of stablecoins would likely require an evolution of use-cases to payments, also beyond the blockchain, remittances, and other cross-border transactions.

Novel data show that cross-border flows of stablecoins exceeded those of unbacked crypto assets since 2022.

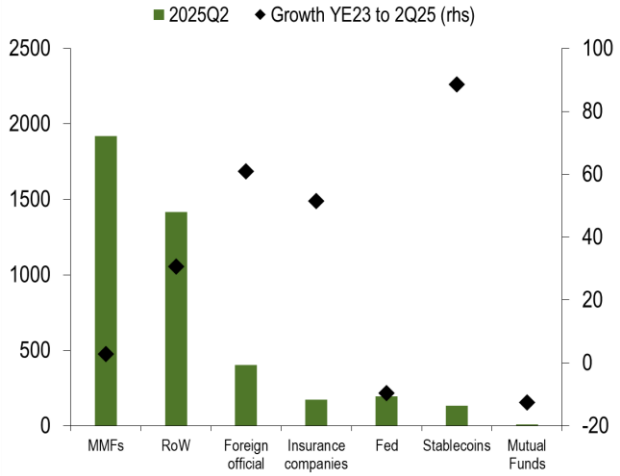
18. Stablecoin Cross-Border Flows (in USD billions)



- Stablecoins have been used more than other crypto assets in cross-border transactions since 2022, and the gap has widened thereafter.
- The figures derive from IMF staff calculations on stablecoin and unbacked crypto assets' cross-border flows.

Stablecoins' holding represented only 2.1 percent of outstanding U.S. treasury bills despite strong growth in holdings.

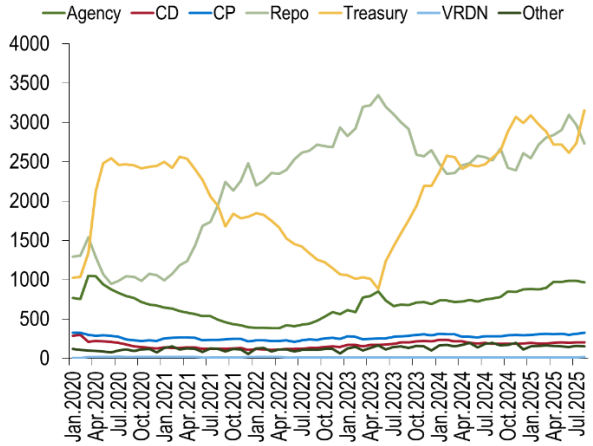
19. Ownership of U.S Treasury Bills (T-bills) (in USD billions and percent)



- Holdings of T-bills by the two largest stablecoins (USDT and USDC) grew by almost 80 percent since 2024, while other major holders, such as Money Market Funds (MMFs) recorded a modest growth in comparison.
- Nevertheless, those stablecoins hold a small fraction (2.1 percent) of total outstanding T-bills. Meanwhile, MMFs tower over other holders (40 percent).
- Analysts speculate that the stablecoin market could grow rapidly as regulatory clarity improves across jurisdictions. Estimates range from USD 500 billion by 2028 to more than USD 2 trillion.
- The wide variation reflects uncertainty around the evolution of use-cases and competition from other tokenized assets including tokenized bank deposits and central bank digital currencies (CBDCs).

Investments of U.S. MMFs in treasury and treasury backed repo remain at high levels.

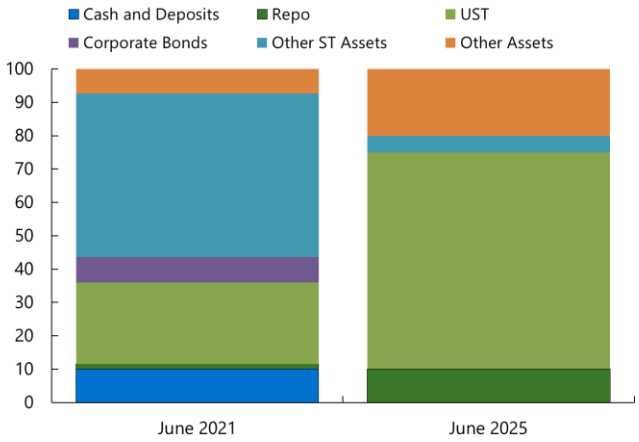
20. Total U.S. MMF AUM by Asset Type
(in USD billions)



- U.S. MMFs have continued to expand, absorbing much of the increase in Treasury issuance. Since 2023, when T-bill issuance rose sharply, MMFs have substantially increased their T-bill holdings, becoming the dominant holders of T-bills by volume.
- Treasury-backed repos also represent a key asset class for MMFs. In recent years, MMFs have shifted a large share of their repo activity away from the Federal Reserve and toward the private repo market. As a result, they have become major investors in the Treasury repo market—an investment space that is also increasingly targeted by stablecoins.

USDT reserve composition varies more than USDC, with Tether planning a new stablecoin that aligns with U.S. regulations.

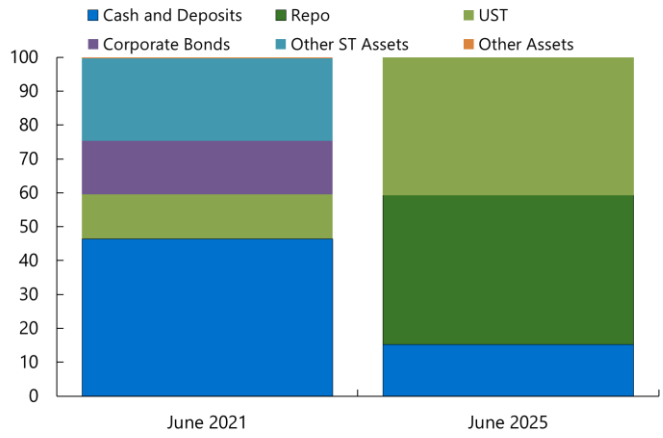
21. USDT Asset Backing (in percent)



- USDT is now 66 percent backed by U.S. Treasuries compared with only 24 percent in June 2021.
- Overnight repo accounts for 10 percent of USDT assets. In total, U.S. Treasuries, repo, and short-term assets account for 81.5 percent.
- Other (riskier) assets, such as crypto assets and precious metals, accounted for 7 percent of USDT's assets in June 2021 and now represent 18.5 percent.
- These other assets are largely not compliant with the new Genius Act. Tether will be entering the U.S. market with a new stablecoin, USAT, which aims to be fully compliant with the Genius Act, and expected to feature a different composition of reserves.

USDC is fully backed by cash, overnight Repo, and U.S. treasuries, in line with current U.S. regulation on reserves.

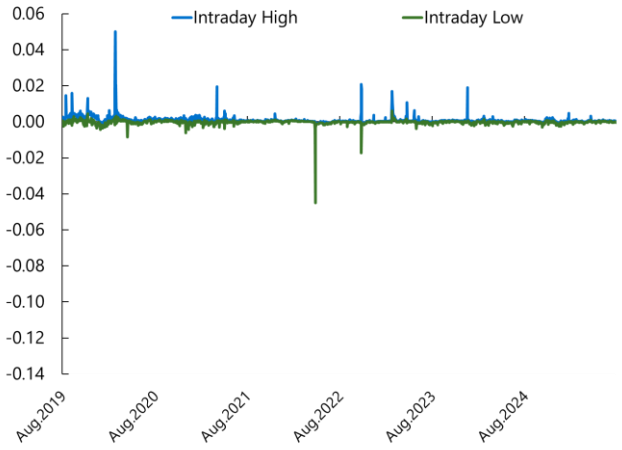
22. USDC Asset Backing (in percent)



- Cash represents 7 percent of USDC assets, compared with 46 percent in June 2021.
- Overnight repos and U.S. treasuries represent 93 percent of USDC backing assets, a significant increase from 13 percent in 2021.

Major stablecoins typically hold their peg, with relatively small deviations most of the time.

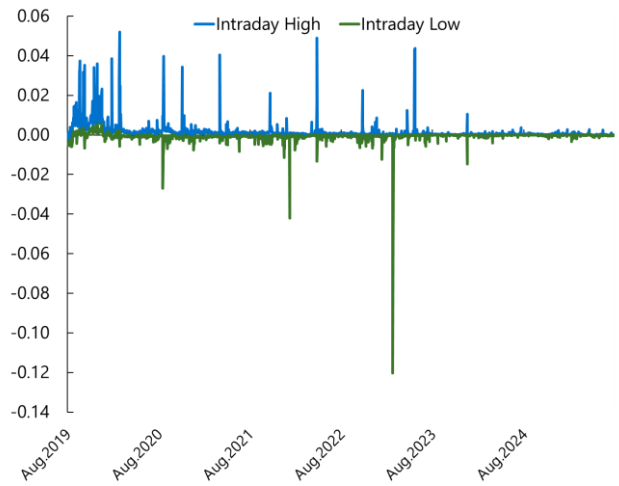
23. USDT Price Deviation from Target (in U.S. dollars)



- The largest stablecoins generally maintain values very close to their peg. There are some intraday deviations, which may depend on exchange liquidity.
- Observed deviations in major stablecoins have been limited to 0.5 percent around par value, which is the threshold for daily deviations from parity that U.S MMFs are allowed before "breaking the buck."
- In May 2022, following the collapse of Terra USD, USDT dropped to USD 0.96, with its value staying below target for roughly two days. Conversely, USDT briefly traded above USD 1.05 in March 2020, when demand for USD in crypto markets spiked.

Deviations from par are typically short-lived, while volatility has declined substantially more recently.

24. USDC Price Deviation from Target (in U.S. dollars)

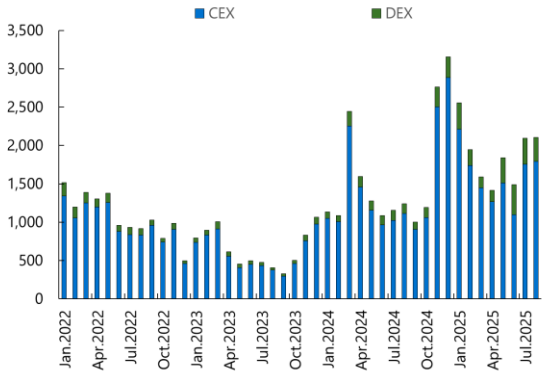


- USDC posted a large temporary divergence from parity in March 2023, reaching USD 0.88 due to its exposure to the collapsed Silicon Valley Bank (SVB). Circle had about 8 percent of its total reserves deposited at SVB. The bank's collapse raised concerns about Circle's ability to redeem USDC at par, triggering heavy selling pressure on exchanges. In contrast, USDT—which held most of its cash equivalents with non-U.S. financial institutions—traded above USD 1.00 as investors shifted toward it.
- More recently, deviations from parity have been minimal for both major stablecoins.

Decentralized Finance (DeFi)

CEXs remained dominant while DEXs are catching up.

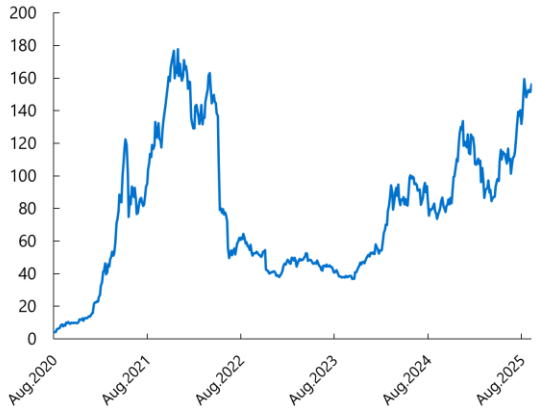
25. Spot trading volume of centralized exchanges (CEXs) vs decentralized exchanges (DEXs) (in USD billions)



- The top 10 CEXs and DEXs together recorded USD 15 trillion in spot trading volume in 2025, with CEXs remaining dominant.
- Trading volume of DEXs reached as high as 36 percent of that of CEXs in Q3 2025. The figure is up from merely 10 percent in Q1 2025.

The growth of DeFi accelerated in Q3 2025.

26. Total Value Locked in DeFi (in USD billions)



- Total value locked (TVL)—total assets deposited in DeFi platforms—reached USD 156 billion in September, increasing by 35 percent since Q2 2025.
- Among blockchains, the market share of Ether in DeFi markets rose again to around 60 percent, followed by Solana (8 percent) and Bitcoin (5 percent).

Sources: Bloomberg L.P., CoinGecko, Chainalysis, DefiLlama, EPFR, Federal Reserve Bank of Dallas, Crane Data, IMF April 2025 Global Financial Stability Report, BDO Independent Auditors' Report on the Financials, Figures, and Reserves Report (Tether), Deloitte's Independent Accountants' Report (USDC), and Reuter, M. (2025), *Decrypting Crypto: How to Estimate International Stablecoin Flows,* IMF Working Paper (forthcoming).